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Research briefing | UK

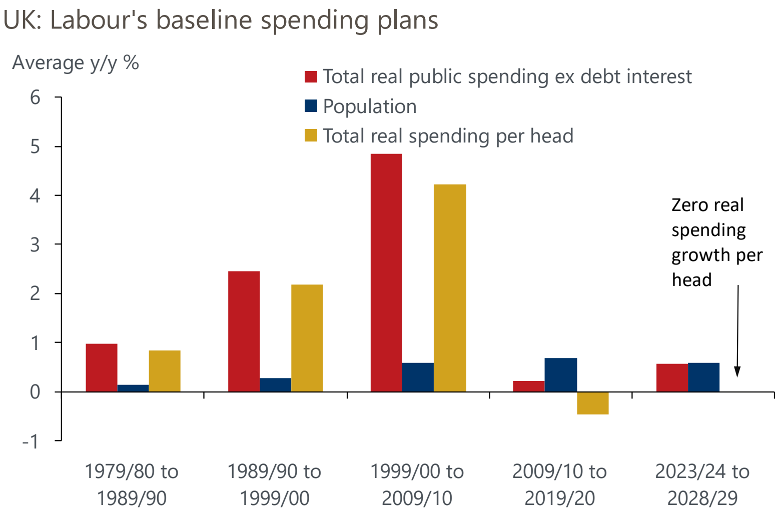
Labour's fiscal inheritance and the Reeves Review

- **The recently-announced Treasury review of the new government's fiscal inheritance is likely to conclude that the UK's fiscal position is fragile and not on a sustainable path. This is despite the Office for Budget Responsibility's judgement in March that the UK was on track to meet the fiscal rules.**
- **We think the Treasury review will highlight four main vulnerabilities in the public finances. First, the existing fiscal plans rest on a marked squeeze in public spending that appears implausible. Second, the OBR forecasts may be over-optimistic on potential output growth and hence on tax revenues. Third, the fiscal position is much more sensitive now to changes in interest rates and bond yields. Fourth, even if the UK appears on track to meet the fiscal rules, the debt ratio may continue to ratchet higher if there are further major adverse shocks.**
- **The review will likely allow the new Labour government to claim that its fiscal inheritance is worse than feared. This could lead to extra tax hikes beyond those in its manifesto, alongside a less aggressive public spending squeeze. In this case, we would not expect the government to breach its manifesto commitments to keep the main tax rates stable on incomes, spending, and profits. Rather, any extra tax hikes would likely focus on other measures, for example capital gains and inheritance taxes and reducing tax reliefs.**
- **Such a shift would deliver a more credible route to meet the fiscal rules than the existing fiscal plans. It probably would help lower bond yields and market interest rate expectations, given that the consensus does not seem to expect the scale of fiscal tightening in the current plans to occur. In turn, lower bond yields could yield a windfall of lower debt service costs for the government, offering more scope to add to public spending in other areas closer to the next election.**

In her first speech as UK Chancellor, Rachel Reeves announced "I instructed Treasury officials to provide an assessment of the state of our spending inheritance so that I can understand the scale of the challenge. And I will present this to Parliament before the summer recess."

We suspect the new Chancellor will "kitchen sink it", getting all the fiscal bad news out early on. This will allow her to announce corrective measures to return the public finances to a sustainable path and blame it all on the failings of her Conservative predecessors.

Chart 1: The baseline spending plans imply a further sustained squeeze on public spending



Sources: Oxford Economics / Haver Analytics

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Why conduct a review?

The first point about the Reeves review of Labour's spending inheritance is the fact that it's happening at all. In our view, the Chancellor wouldn't announce a review if she intended to stick to the existing spending plans. The second point is that it's being done by the Treasury, which is headed by the Chancellor, rather than the Office for Budget Responsibility. This allows it to take a much wider view than the OBR's usual assessments, which simply judge whether – with the announced tax and spending plans - the UK is on track to meet the fiscal rules. Third, Reeves would surely not have called this review unless she was reasonably confident in its likely outcome and also is willing to accept its verdict.

We think the review will conclude that, even though the OBR in March judged the UK was on track to meet the fiscal rules, the fiscal position is fragile and not solidly on a sustainable path. We expect it will highlight four main weaknesses.

1. Unrealistic public spending plans

In the existing fiscal plans, fiscal policy tightens markedly over the next few years, chiefly through a squeeze on public spending. With this tightening, the UK appears on track to meet the fiscal rules. However, the outlined spending plans – and hence the path to meet the fiscal rules – appear unrealistic.

Even with the extra £9.5bn annual spending (combining current and capital spending) in Labour's manifesto, the existing plans imply that total real public spending (current and capital spending) per head excluding debt interest will be unchanged over the five-year period from 2023/2024 to 2028/2020 (see **Chart 1**). These plans include a sizeable drop in capital spending, despite pressure to build more prisons and hospitals, and fix ageing school buildings. Allowing for the likely path of health spending, and assuming defence and aid spending rise in line with GDP and real spending on schools is flat, these figures imply that real current spending in other areas would have to fall significantly.

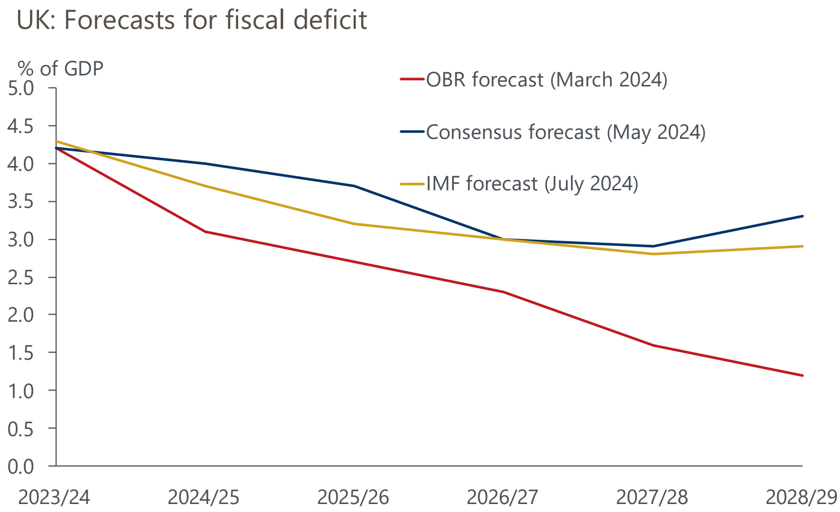
To be sure, the implied path for total real spending per head in future years is slightly less severe than that in the 10 years from 2009/2010 to 2019/2020, when it declined by an average 0.5% per year. But, unlike now, that earlier squeeze followed a decade in which real public spending had risen relatively quickly, and so public services were not as stretched as now. In addition, pressures for extra spending on health, social care, and pensions are greater now than then due to population ageing. Moreover, there is no allowance for the likely costs of payments related to the blood transfusion scandal, which are likely to exceed £10bn over several years. Nor is there any provision to raise defence spending as a share of GDP, or to cover the likely recommendations from official pay review bodies for public sector pay. The Reeves review may well unearth other cases where announced projects are lagging due to funding shortfalls.

Referring to the pre-election fiscal plans, the IMF recently judged that "The assumed pace of spending growth is likely inadequate to accommodate widely reported pressures on public services, particularly health, education, and social care, as well as critical growth-enhancing investments, including for the green transition."

Some of this was known before the recent election, but the Reeves review is likely to conclude that the gaps in the pre-election public spending plans are worse than feared.

In our view, it's unlikely that the Conservatives would have stuck to those spending plans if they had won the election. They were probably not intended to be implemented and the Conservative government did not lay out detailed plans to achieve them. Rather, the purpose of the existing spending totals appears to have been to show a path by which the fiscal rules could be met with the tax cuts announced in late 2023 and early 2024. In practice, it's likely that a Conservative government would have added to the spending totals while, as has often been the case, pencilling in restraint in future years to meet the fiscal rules, which focus on the deficit and change in debt ratio five years ahead. This would have resulted in higher deficits and debt than the March Budget plans. Notably, even prior to the election, forecasts by the consensus and the IMF for the fiscal deficit in the coming years were well above the March 2024 Budget profile – the IMF explicitly states this is because it assumes a higher path for public spending.

Chart 2: External forecasts do not appear to believe the existing fiscal consolidation plans

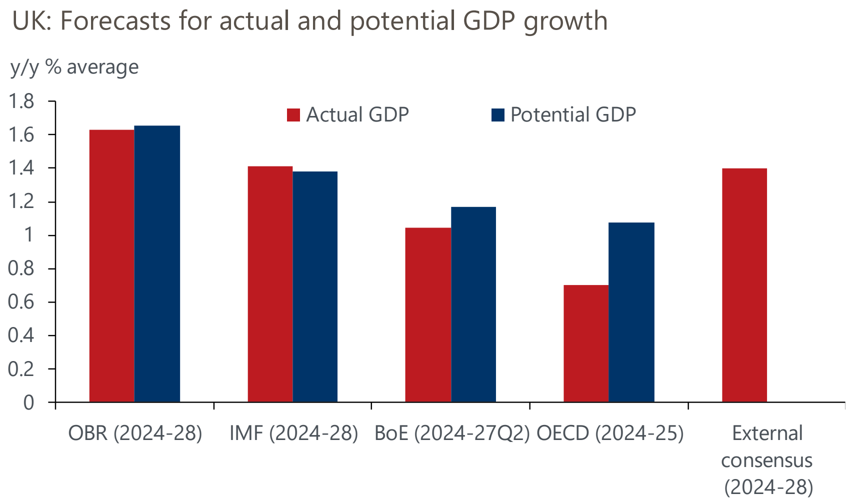


Sources: Oxford Economics/Haver Analytics

2. OBR forecasts may be over-optimistic on productivity and potential growth

The government's ability to maintain even the low spending plans outlined in the March Budget is vulnerable to the possibility that the OBR will downgrade its potential growth forecast. The OBR's forecast for potential growth in the coming years is well above those of the IMF, the OECD and the Bank of England, and reflects a more optimistic outlook for productivity growth. By convention, the OBR assume that the level of GDP matches its potential five years ahead, and hence its potential growth forecast determines its GDP forecast, which in turn drives its forecast for government revenues.

Chart 3: The OBR's growth forecasts are relatively optimistic compared to others



Sources: Oxford Economics / Haver Analytics

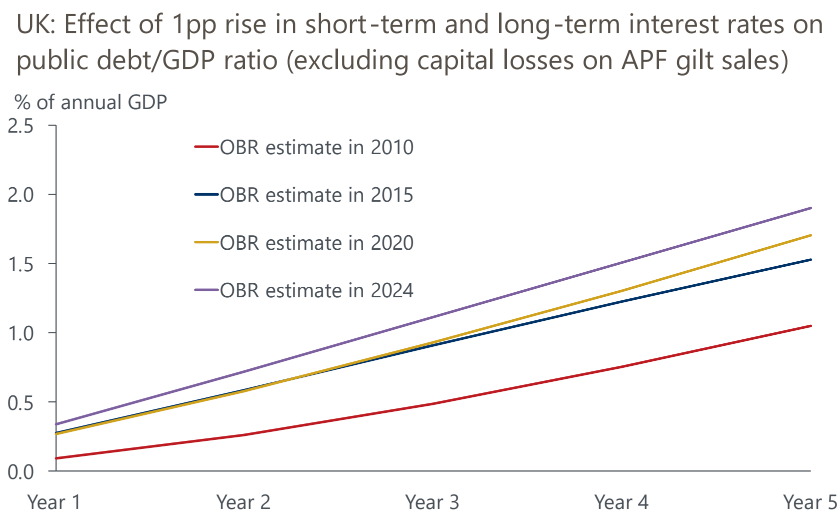
Productivity growth has repeatedly undershot the OBR's forecasts over the last decade, and it would not be surprising if the OBR again cut its forecast. If the OBR decides to cut its potential growth forecast to match the IMF, then the level of GDP five years ahead would fall by 1.3%. Assuming a stable tax/GDP ratio, this would imply a 1.3% downgrade to the OBR's government revenue forecast (£17bn) which, if the existing spending plans are maintained, would leave the government in breach of its fiscal rules. Note that such a downgrade to the potential growth outlook need not imply an adverse judgement on the new government's policies. Rather it would reflect a correction of a forecast that appeared over-optimistic even when first published early this year.

This risk implies that the government should seek to operate with greater headroom compared to the fiscal rules, so that its ability to maintain its public spending plans is not eroded by a downgrade to the OBR's potential growth forecast.

3. Fiscal position more sensitive to changes in interest rates than previously

With higher public debts and the role of quantitative easing in shortening the effective maturity of government debt, the UK's fiscal position is much more sensitive to changes in short- and long-term interest rates than it used to be. For example, the OBR's ready reckoner suggests that a sustained 100bp rise in Bank Rate and gilt yields would lift interest payments and hence quickly raise the fiscal deficit by 0.4%-0.5% of GDP per year. These higher deficits would add roughly 2ppts to the public debt ratio five years ahead, excluding effects on capital losses in the BoE's asset purchase facility. This is roughly twice the OBR's 2010 estimate. Hence, even if the fiscal position appears sustainable at prevailing bond yields, that judgement on fiscal sustainability would not be robust and could shift adversely if bond yields were to rise significantly. Moreover, the government risks having to make repeated changes to its fiscal plans if bond yields fluctuate.

Chart 4: Fiscal position is more vulnerable to changes in interest rates



Sources: Oxford Economics/Haver Analytics

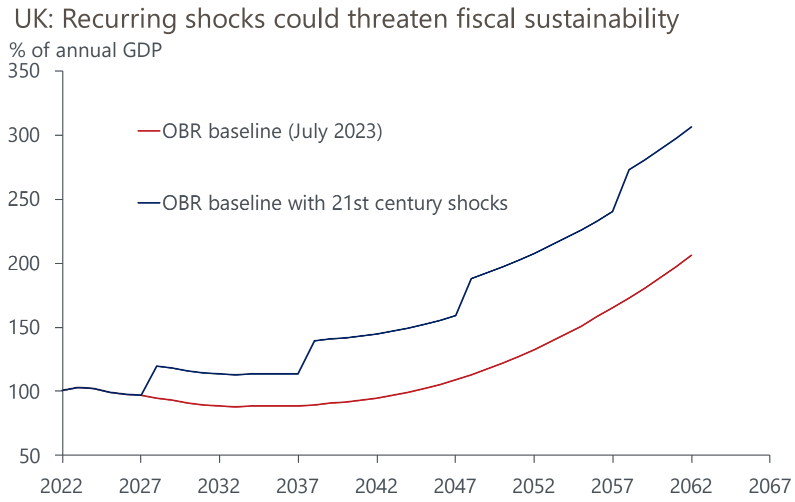
The government can't quickly reduce this vulnerability. But it reinforces the case for the government to seek greater headroom against the fiscal rules to ensure that the public spending plans (excluding debt interest) remain sustainable if bond yields rise further. And it raises the potential cost for the government if its fiscal credibility is called into question.

4. Debt ratio would continue to trend higher if major adverse shocks continue

The existing fiscal plans are also vulnerable to further major unexpected adverse shocks. Over the last 20 years, a series of major adverse shocks (financial crisis, pandemic, energy shock) have caused the public debt ratio to rise from 34% in 2004 to 92% now, even though the UK has been on track to meet its fiscal rules outside these crises. The existing fiscal plans assume no further shocks will occur. However, the OBR has estimated that if the frequency and scale of major adverse shocks matches the norm for this century so far, it would add about 25ppts to the debt ratio each decade, causing the public debt ratio to ratchet sharply higher.

The limits of public debt sustainability are uncertain. But, if such a series of major shocks were to occur, the government at some point might find itself lacking adequate fiscal space to respond in a crisis. Or, even outside a crisis, markets might start to charge an extra risk premium for the possibility that the debt ratio will continue to trend higher. Given the heightened sensitivity of the public finances to bond yields explained above, such a risk premium would quickly worsen the fiscal outlook. Given this, it's arguable that the baseline fiscal plans should include a greater margin for error against major adverse shocks. This could be achieved by aiming for a larger drop in the debt ratio outside crises, whereas the existing fiscal rules can be met with little or no decline in the debt ratio over time.

Chart 5: The fiscal outlook is highly vulnerable to further adverse shocks



Sources: Oxford Economics/Haver Analytics

Reeves review is likely to conclude that higher spending, bigger fiscal headroom, and a lower debt profile are needed

Given this, we suspect the Reeves review will conclude that a more realistic and sustainable outlook is likely to require a mix of higher public spending, greater headroom versus the fiscal rules and a more plausible path of fiscal tightening over the five-year forecast period.

Of course, it would be much easier to reconcile these goals if the economy's potential growth rises, and Labour's focus on seeking to lift potential growth is well-founded. However, it's likely that any measures to lift potential growth will take several years to have a discernible effect, especially given the risks noted above that the OBR's existing potential growth estimates could be downgraded anyway. Hence, as a starting point, the new government will want to show it can achieve these goals and meet the fiscal rules within the OBR's existing potential growth outlook.

What will – or can – the government do?

The OE base case currently assumes the Labour manifesto plans on tax and spending which (as discussed) imply a sharp public spending squeeze. We have argued that it is possible Labour will tweak the net debt rule so that it excludes the impact of the cost of the Treasury indemnifying the BoE for losses on sales and redemptions of gilts held in the asset purchase facility. This would increase fiscal space by roughly £20bn, allowing scope to ease the public spending squeeze.

But in our view, it's also worth considering a scenario in which the Reeves review is used to justify significant extra tax hikes, perhaps an extra £10bn-£25bn (note that 1% of annual GDP is £28bn) alongside a less aggressive squeeze on public spending and perhaps a tweak to the debt rule. This would be in addition to the revenue-raising measures in Labour's manifesto, which were worth £8.6bn per year (including anti-avoidance measures).

The advantage for the new government from this approach is that a different mix of fiscal consolidation would be more credible to financial markets and by squeezing public spending less would also be more in line with the government's political aims. Any political costs from higher taxes could be outweighed by the scale of Labour's majority and, using the cover of the review, putting the blame on the weak fiscal position left by the previous Conservative government. This strategy of early tax hikes was adopted by the first Blair government (1997-2001) and was followed by two further election victories.

If the government goes down this route, we would not expect it to break its manifesto pledges, which stated "we will not increase National Insurance, the basic, higher, or additional rates of Income Tax, or VAT." Rather, any extra revenue raising measures are likely to focus on other areas, for example inheritance tax (IHT), capital gains tax (CGT), or reducing tax reliefs. There is substantial scope for extra revenues in these areas without breaching manifesto commitments. Household net wealth has risen from £2.7tn in 1995 (470% of annual household income) to £11.5tn in 2023 (660% of household income) and the value of inheritances is likely to rise in coming years due to population ageing. Moreover, the UK tax system has several hundred non-structural tax reliefs – designed to help or encourage particular types of individuals, activities, or products to achieve economic or social objectives. Official figures suggest that the combined cost of these reliefs in lost tax revenues exceeds £200bn per year.

For example, the Institute for Fiscal Studies (IFS) estimates suggest that the government could raise about £3bn per year by limiting IHT relief for agricultural and business assets, bringing pension pots within IHT, and removing the CGT uplift on inherited assets (if they are not covered by IHT). Extending the freeze on income tax allowances for another year would raise an additional £1bn-£2bn five years ahead. The Office for Tax Simplification (OTS) has noted that alignment of CGT rates with Income Tax rates could theoretically raise an extra £14 bn per year (using 2018/19 data), although presumably this would be reduced if CGT inflation indexation is reintroduced, which probably would occur if tax rates are aligned. Substantial amounts could be raised by extending the tax base for National Insurance contributions, for example by lifting the upper earnings limit or extending the full NICS rate to self-employed incomes.

If this fiscal shift were to happen, it's possible that both extra public spending and extra tax hikes could be announced together when the Reeves review is published later this month. Or there may be a two-stage process, with the Reeves review highlighting the weaknesses in the baseline fiscal position, followed by policy announcements on both tax and spending in a full Budget later this year.

A shift to higher taxes and a smaller public spending squeeze may not result in greater fiscal tightening than shown in the March 2024 Budget plans. However, it would make that tightening path more plausible, given that the previous plans relied on spending plans that seemed implausible. As a result, markets might factor in greater fiscal drag for the coming years, helping to lower market interest rate expectations on the assumption that the BoE will offset the fiscal drag with lower interest rates.

The overall effect on growth and activity of a combined shift in monetary and fiscal policy would probably be small. As a benchmark, our OE model suggests that to leave GDP and inflation roughly unchanged five years ahead, a sustained fiscal tightening through personal tax hikes of 0.5ppts of GDP (£14bn) would need to be offset by a 50bp decline in interest rates. Lower interest rates would help the fiscal position, given that the public finances are much more sensitive than previously to changes in bond yields. Such a windfall might provide a platform later on from which – if needed for political purposes – fiscal policy could be loosened closer to the next election.